The main factor in bonds is the interest rate charged by the bank. If the borrower's credit rating[44] is low, the bank will charge a higher interest rate to compensate for the additional risk.

How bonds trade

Bonds trade in the open market, just like stocks. If you buy bonds with the intention of keeping them till maturity, then you may not be concerned how bonds trade in the market place. But if you intend to sell bonds before the maturity period, it is better to understand how bond trading takes place.

Let us say that after 6 months of purchasing the bond, the interest rates go up in the market, for some reason. If you have to sell your bond in the market under such circumstances, you would have to obviously bring the price of the bond down to cover for the lower interest rate that you are getting on your bond (which was fixed at the time of purchase of the bond) as compared to the market interest rate. The same logic holds good if the interest rates in the market go down. Thus the bond prices flow inversely with the market interest rates.

NSC Bonds

National Savings Certificates (NSC) are like government bonds of specified period which pay interest. These certificates are bought from post office. These can be bought by individuals or jointly by 2 adults and not by Companies, trusts and HUF. However, it cannot be bought by minors.

The minimum investment is ₹500 and there is no maximum limit for investment. These certificates are accepted as collateral for taking loan. The certificate has a holding period of 3 years after which it can be encashed.

Depending on the scheme of the bond you invest in, the rate of interest varies from 8.5% to 8.8% respectively. Investments up to ₹1,50,000 per annum in such government bonds are eligible tax benefits under Section 80C. However, the accrued interests are taxable as per the tax bracket the person falls into.